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Growing Incredible Managers:

Business Models for Innovation and organizational structures

Prepared by

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Projekts Nr./ CFLA līgums Nr. 1.2.2.3/16/i/001

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Structure needs to correspond to

Business model and must

promote innovation

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Structures for Innovation

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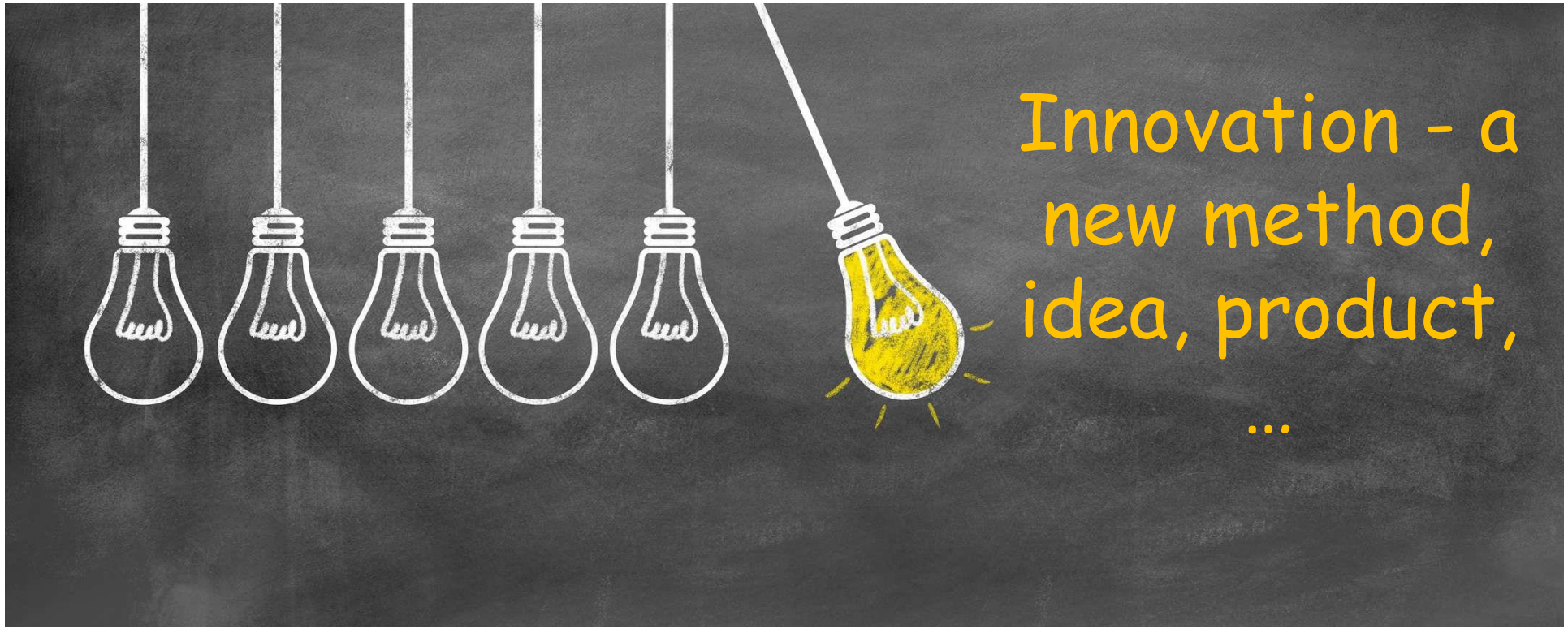

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Kongo Gumi
Construction/Osaka, Japan
Founded: 578 40th generation

*** ***

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Masakazu Kongo

- **Flexibility in selecting leaders**
- **Health, responsibility, talent for the job**
- **Not always a son**
- **Sons-in-law taking the family name**

2007

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Keiunkan – est. 705

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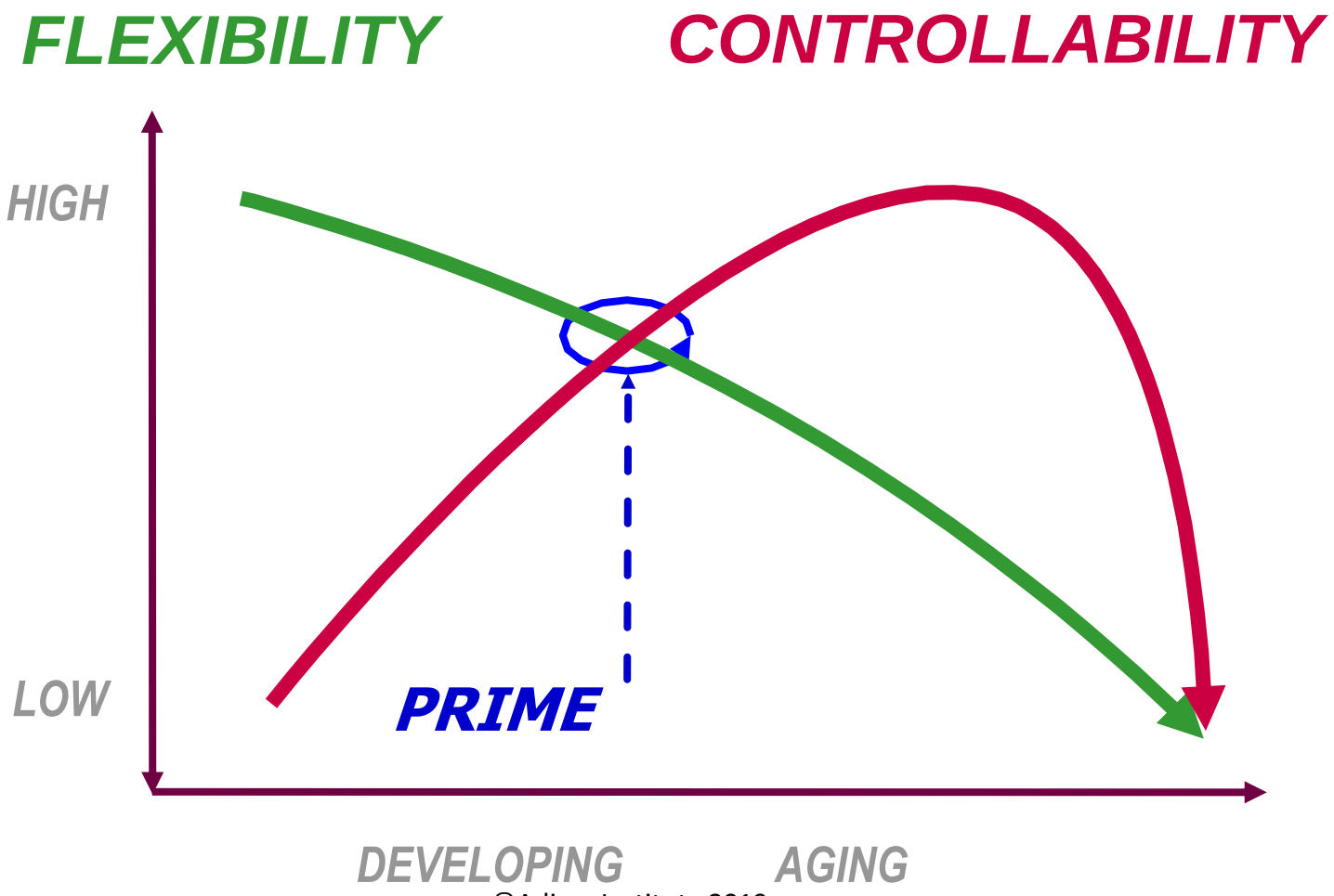
- ***Flexibility:*** ***Ability to effectively flex and adapt to change.***
- ***Controllability:*** ***Ability to efficiently control organizational efforts.***



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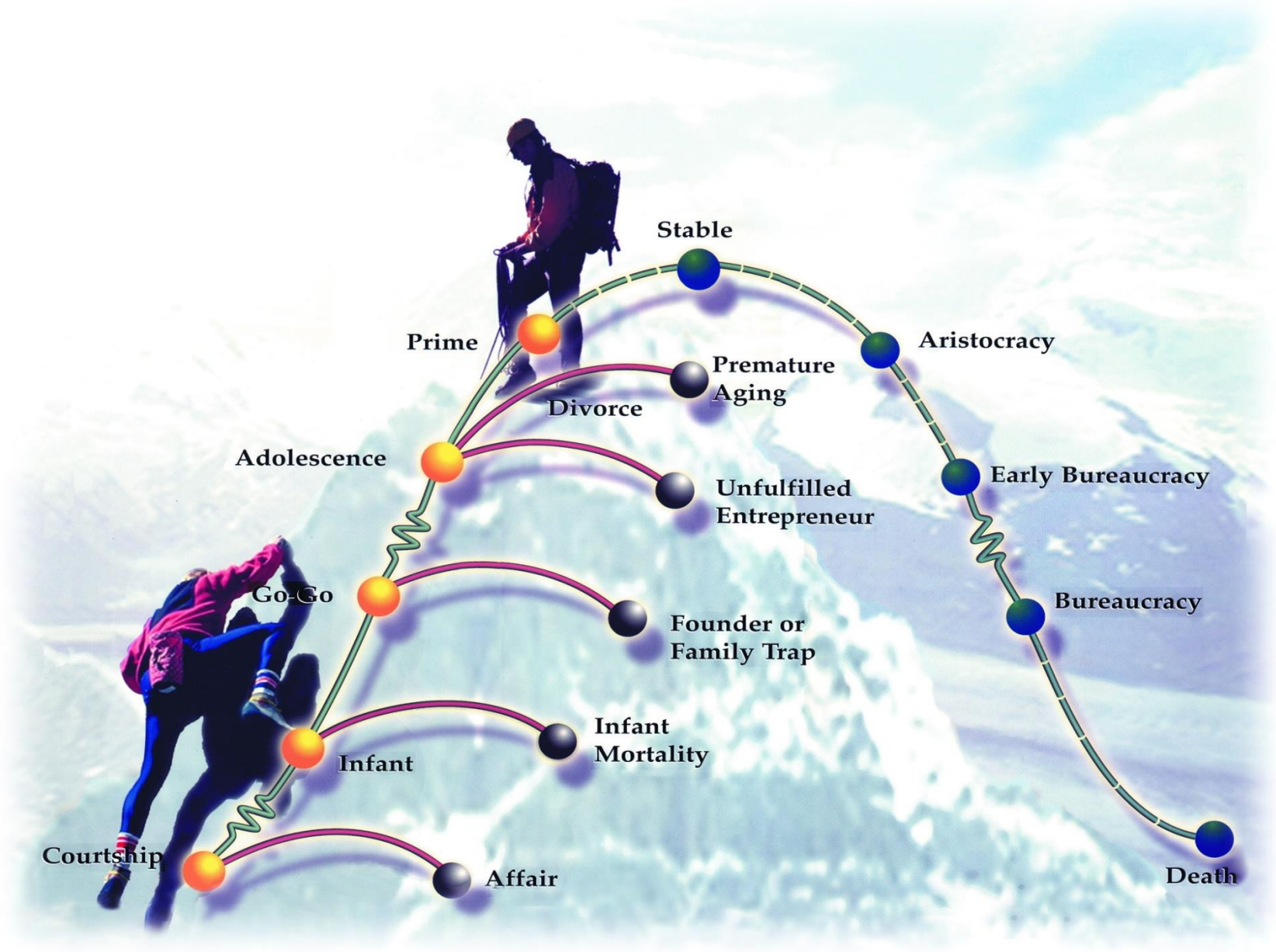

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Well Managed Organizations
Are Effective and Efficient

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EFFECTIVENESS

SHORT TERM

Providing value

Producing needed results

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EFFICIENCY

SHORT TERM

Administration

Systematizing Programming

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EFFECTIVENESS

LONG TERM

Entrepreneurship

Creativity

+

Risk

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EFFICIENCY

LONG TERM

Integration

Cooperation
Alignment

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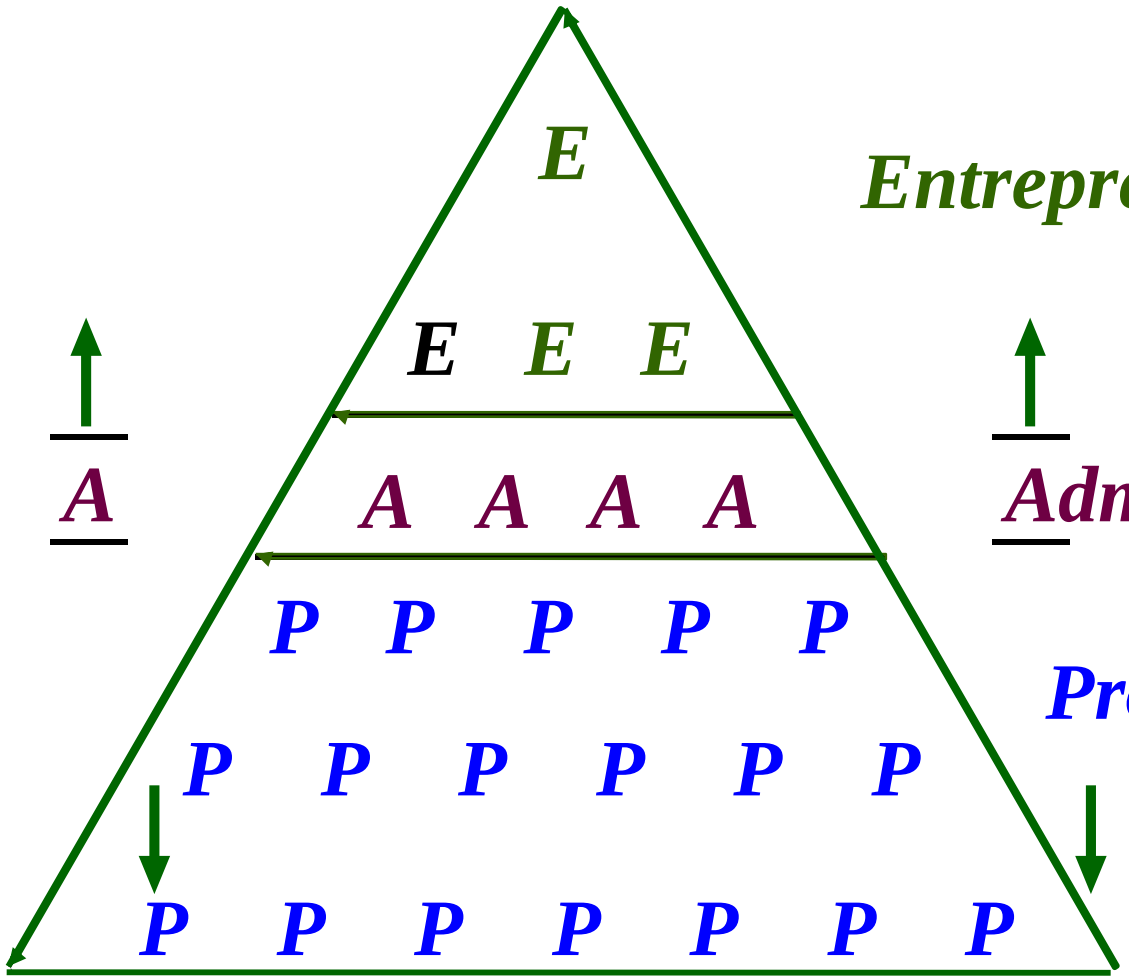

Entrepreneurial Innovation

Administration

Producing Value

E comes and leaves, A accumulates…

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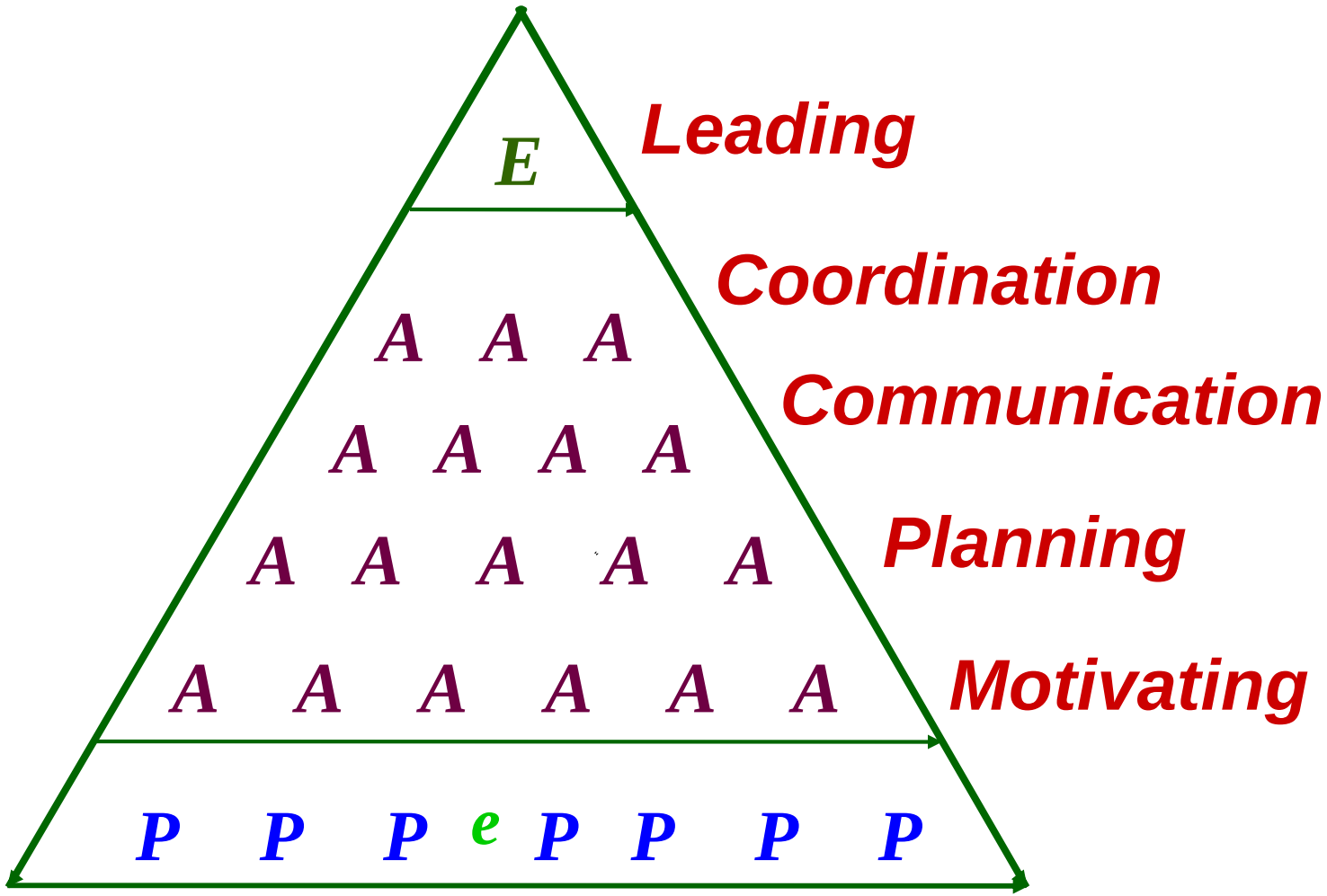

Companies are not structured for change

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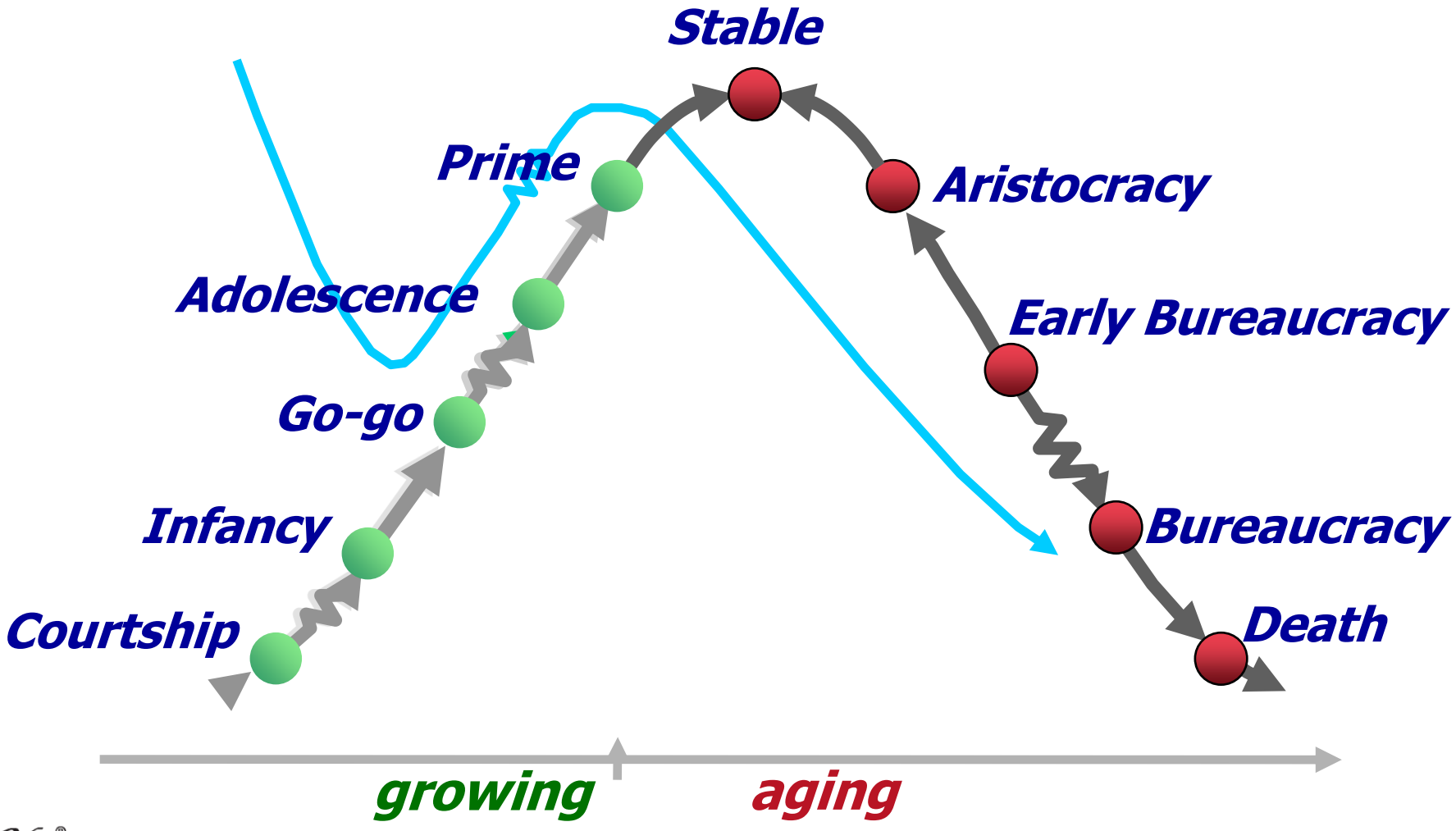
Innovation during the life-cycle



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Losing entrepreneurial spirit

$$\text{Aging} = f\left(\frac{\text{Desired}}{\text{Expected}}\right)$$

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1. ***Mental age of people who make strategic decisions***

2. ***Relative market share perceived by management***

3. ***Functionality of leadership***

4. ***Functionality of organizational structure***

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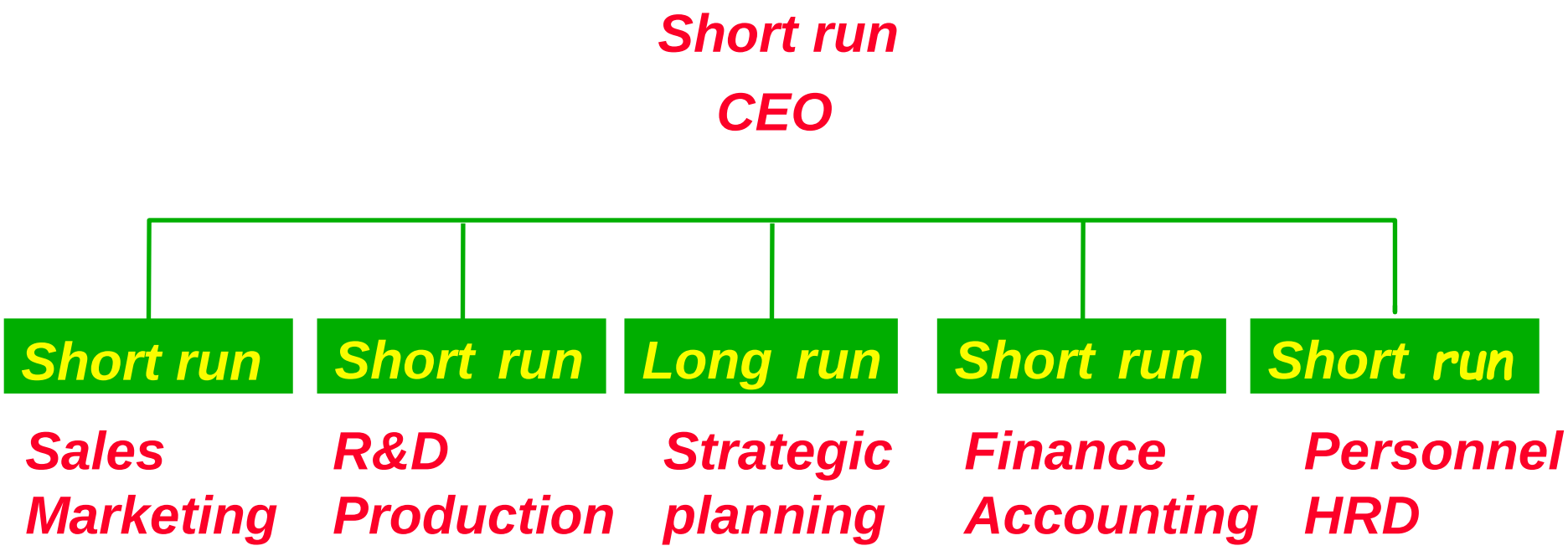

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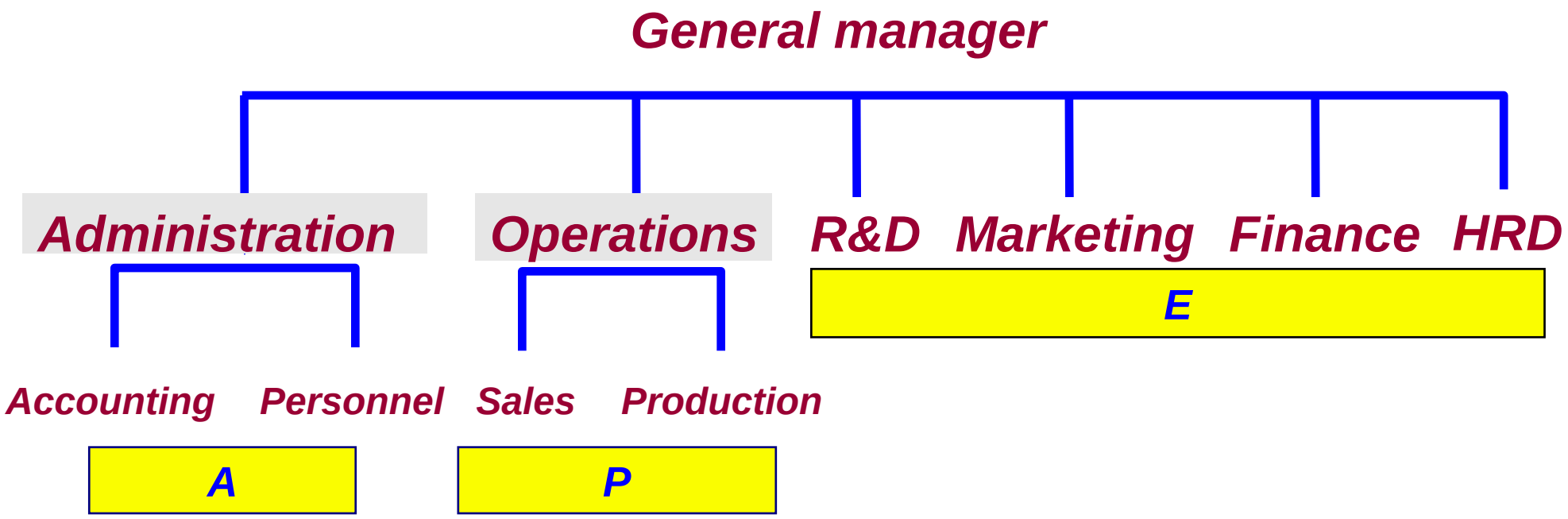

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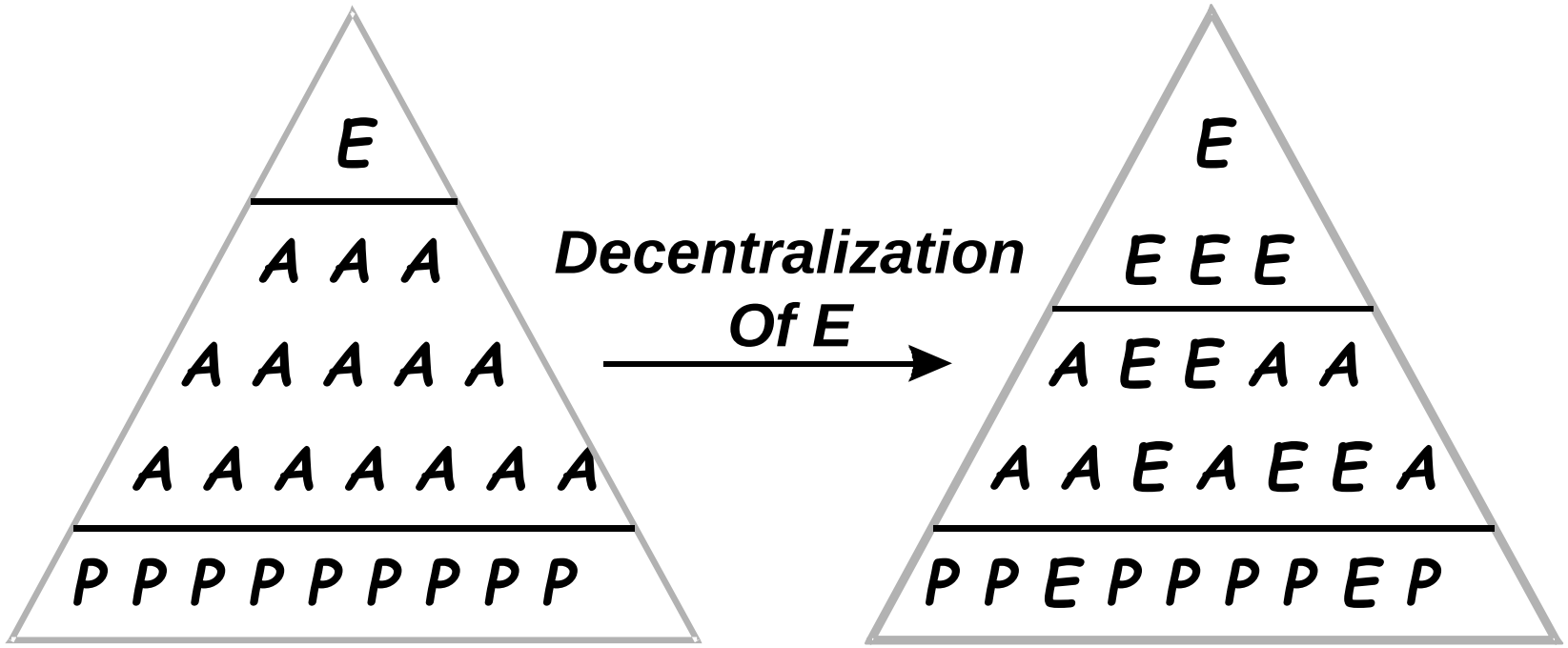
How to not get old?



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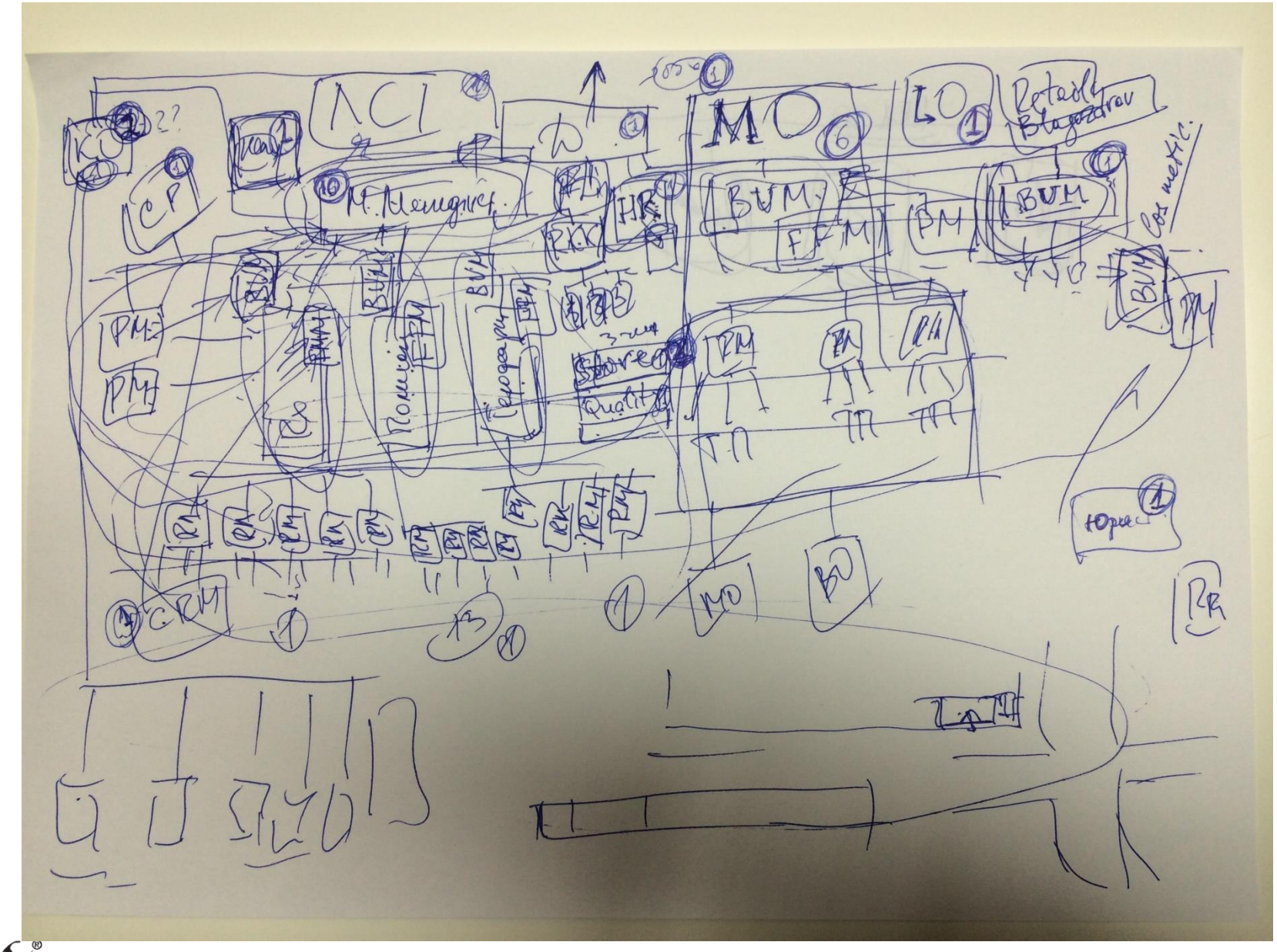

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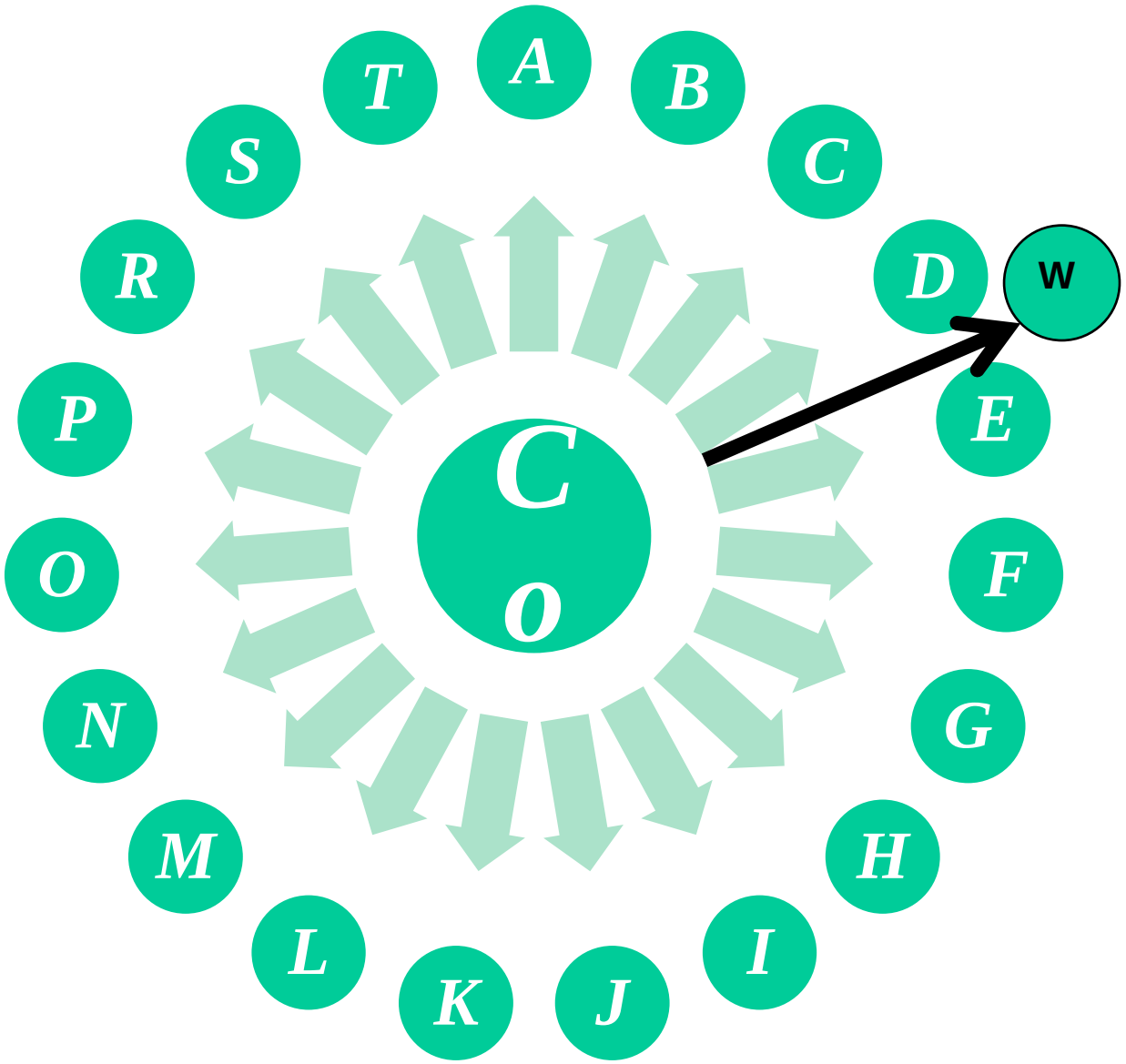

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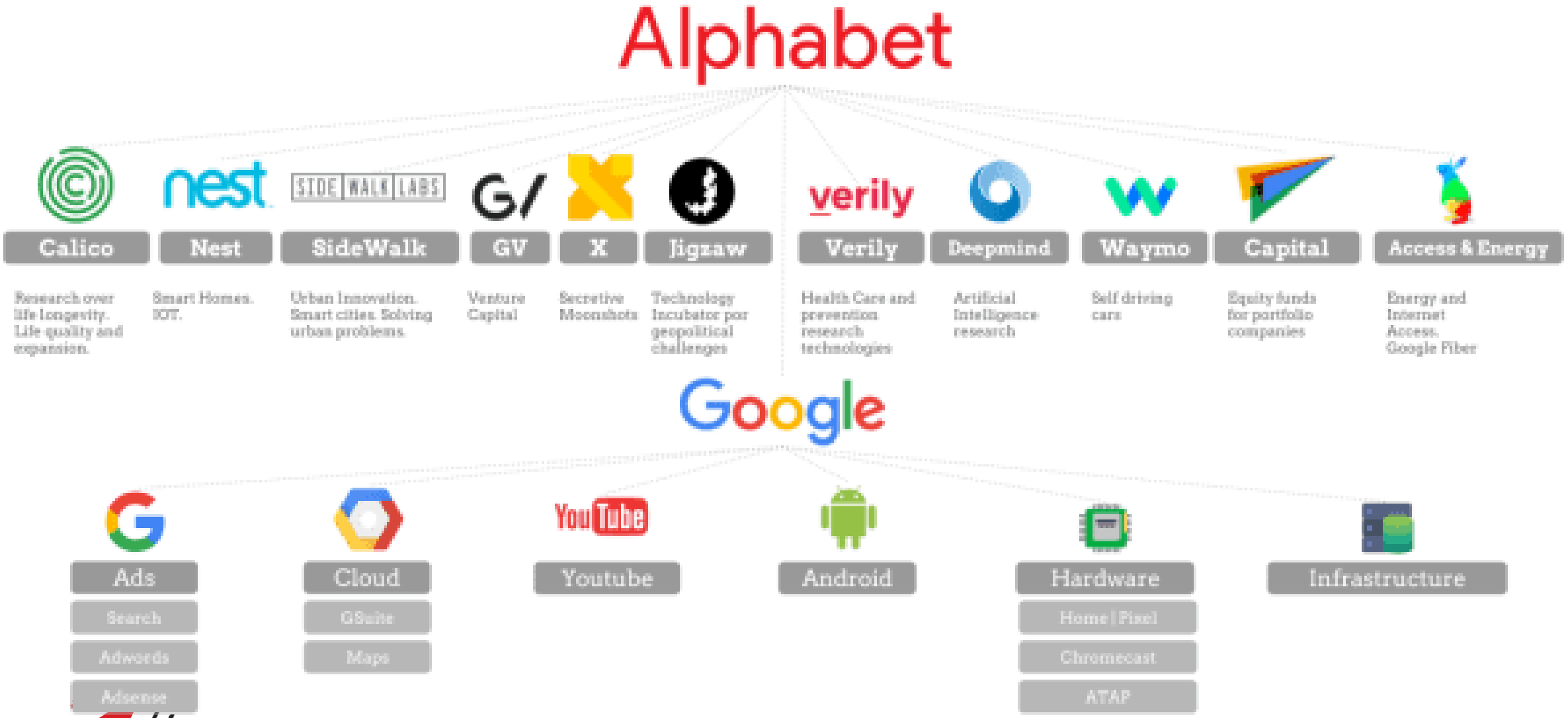
Holding Company



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ACHIEVEMENT CENTERS

- Defined by ***"intent"*** of the center
- ***Color coded*** for clarity
- Have definite financial budgetary and control ***accountabilities***
- Have other financial and non-financial ***key performance indicators***
- Have ***well defined rules*** of governance

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PROFIT CENTER

- *Revenues from selling externally*
- *Responsible for P&L*

EXCELLENCE CENTER

- ***Support services that cannot be directly traced***
- ***Or the cost of doing so would exceed the benefits***
- ***Operates to minimize expenses***

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SERVICE CENTER

- *Serving multiple units inside without profit motive*
- *The units of service must be traceable to the user*
- *Must use cost-based transfer price per unit*

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Gadgets company

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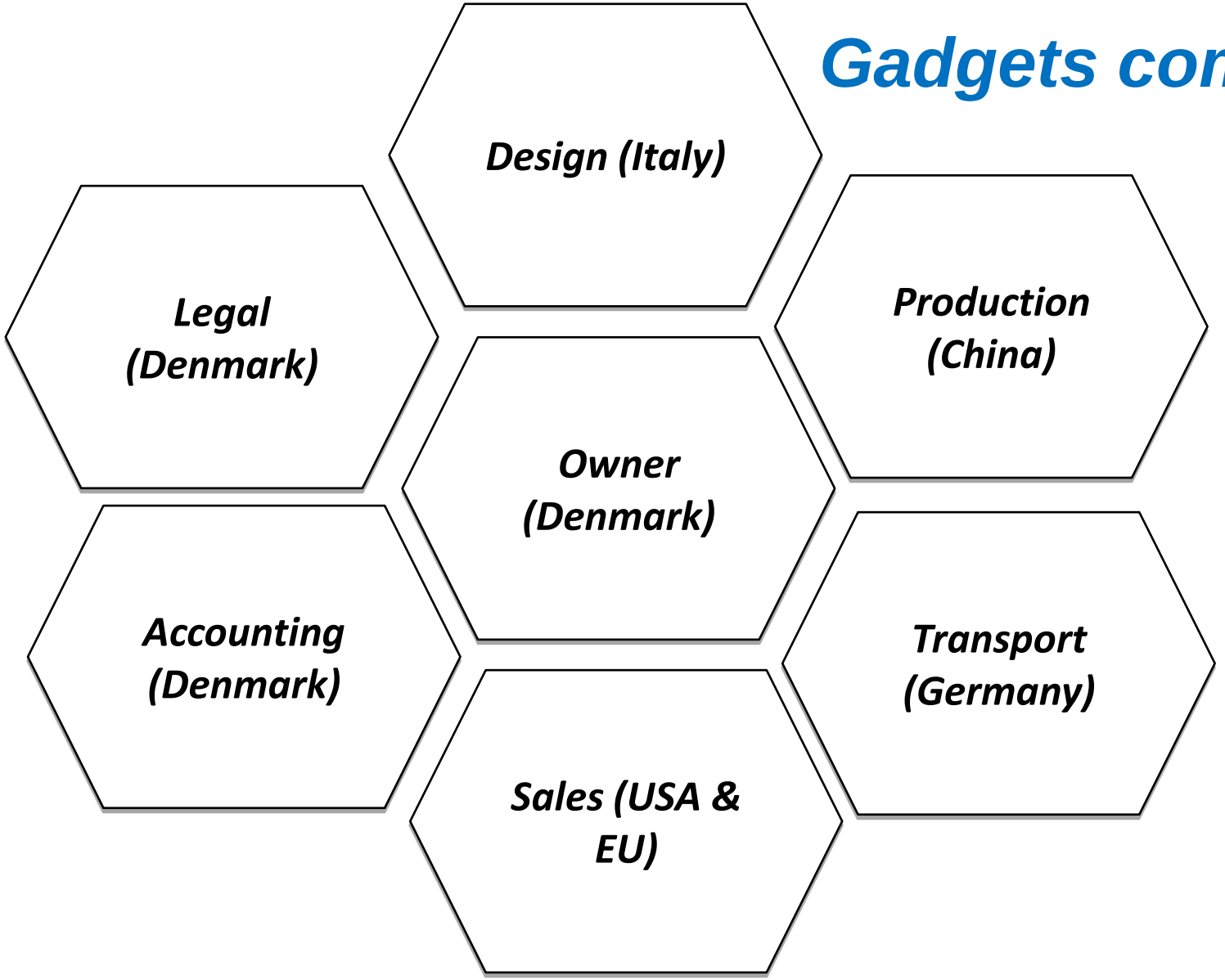

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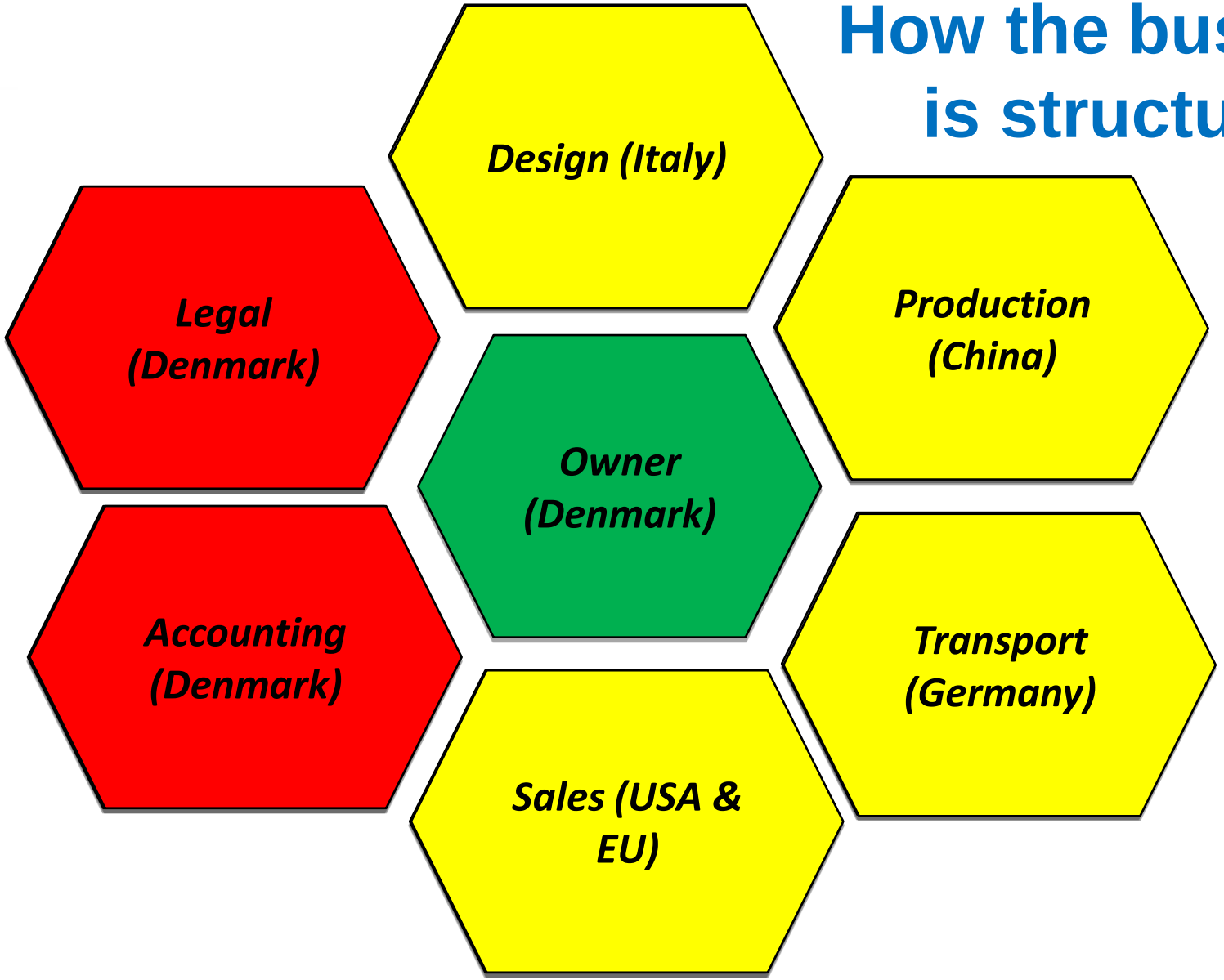
How the business is structured



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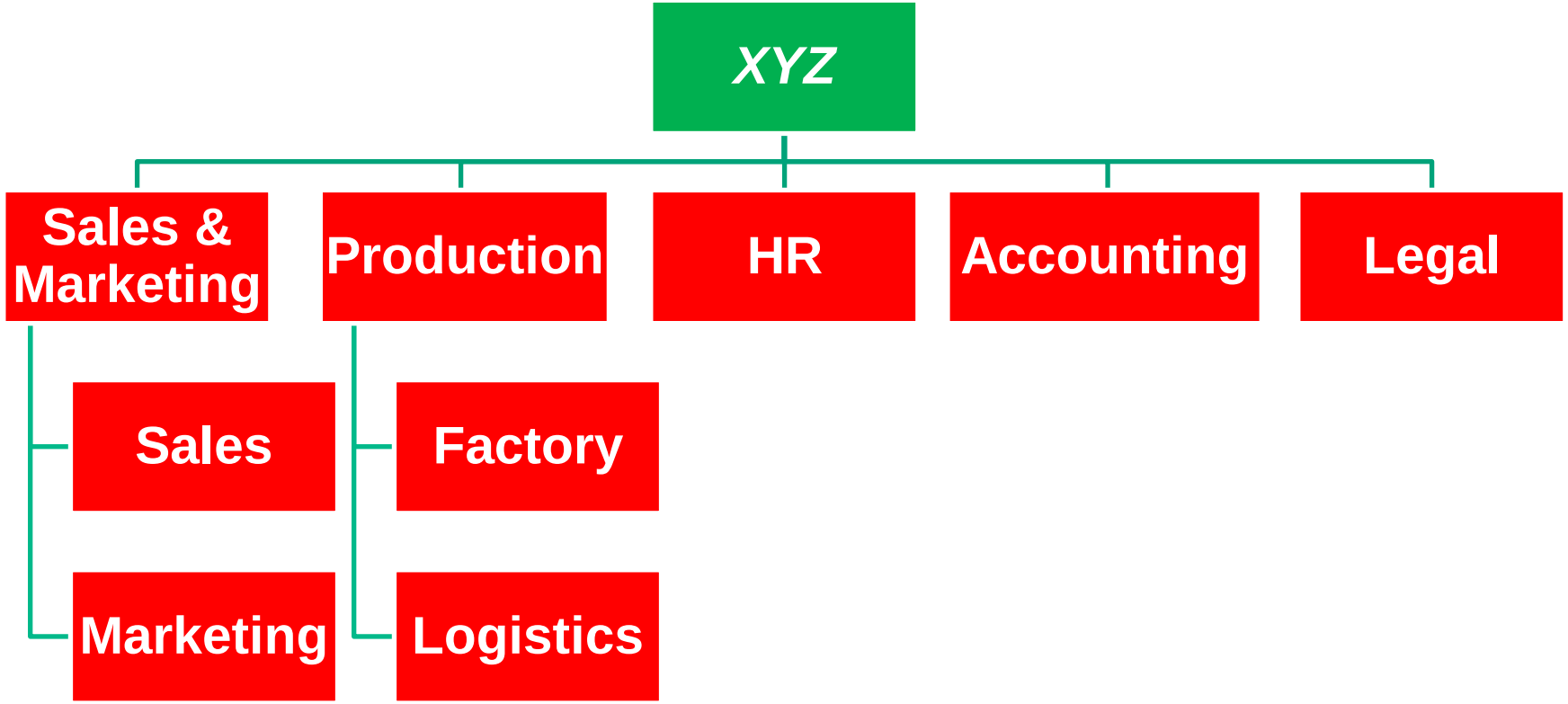
How the business is growing?



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Case

- Go-go
- Automotive Wholesale
- Distribution
- Single owner / founder's
- trap
- Not enough innovation and accountability

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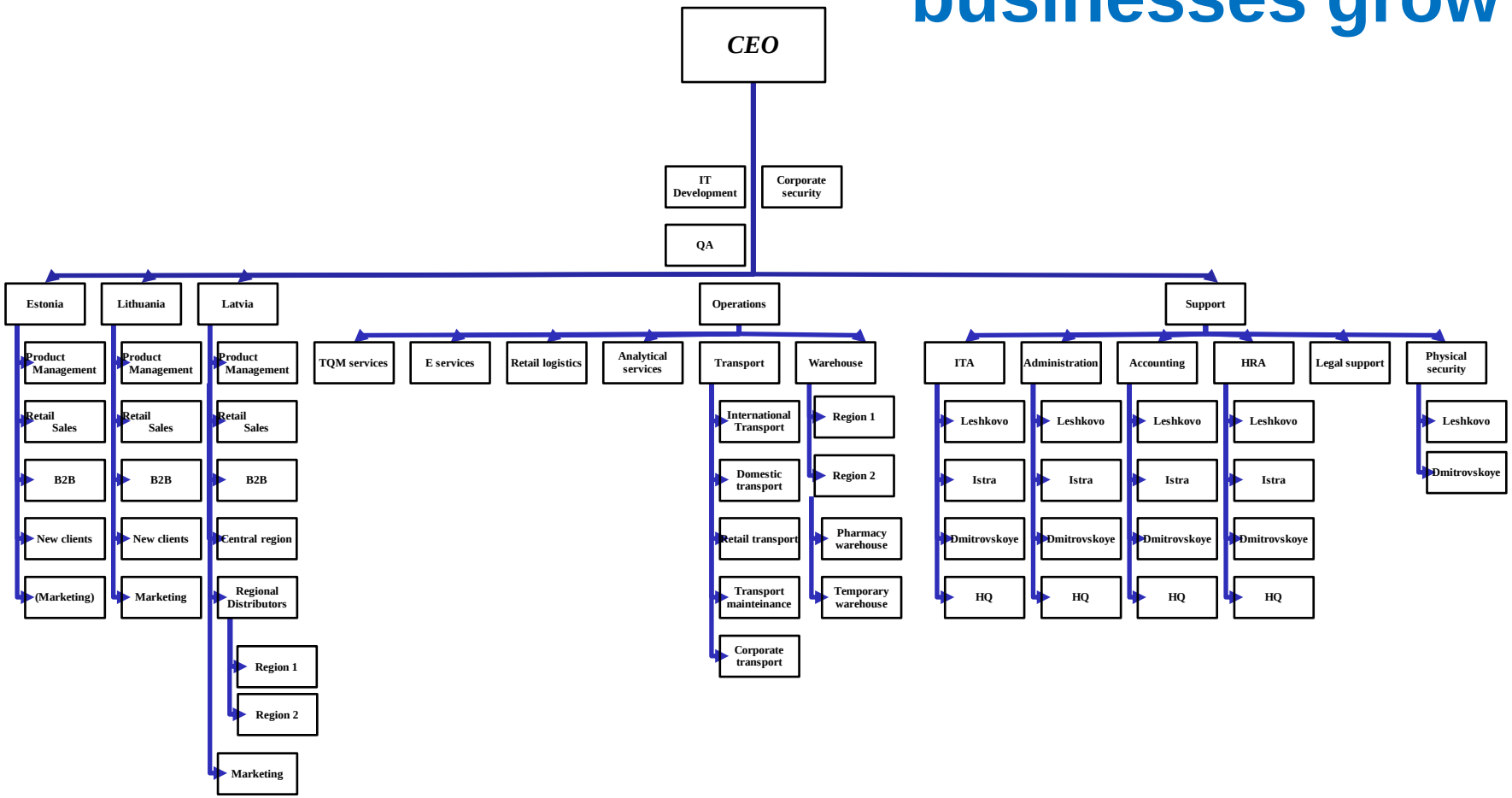
How will the businesses grow



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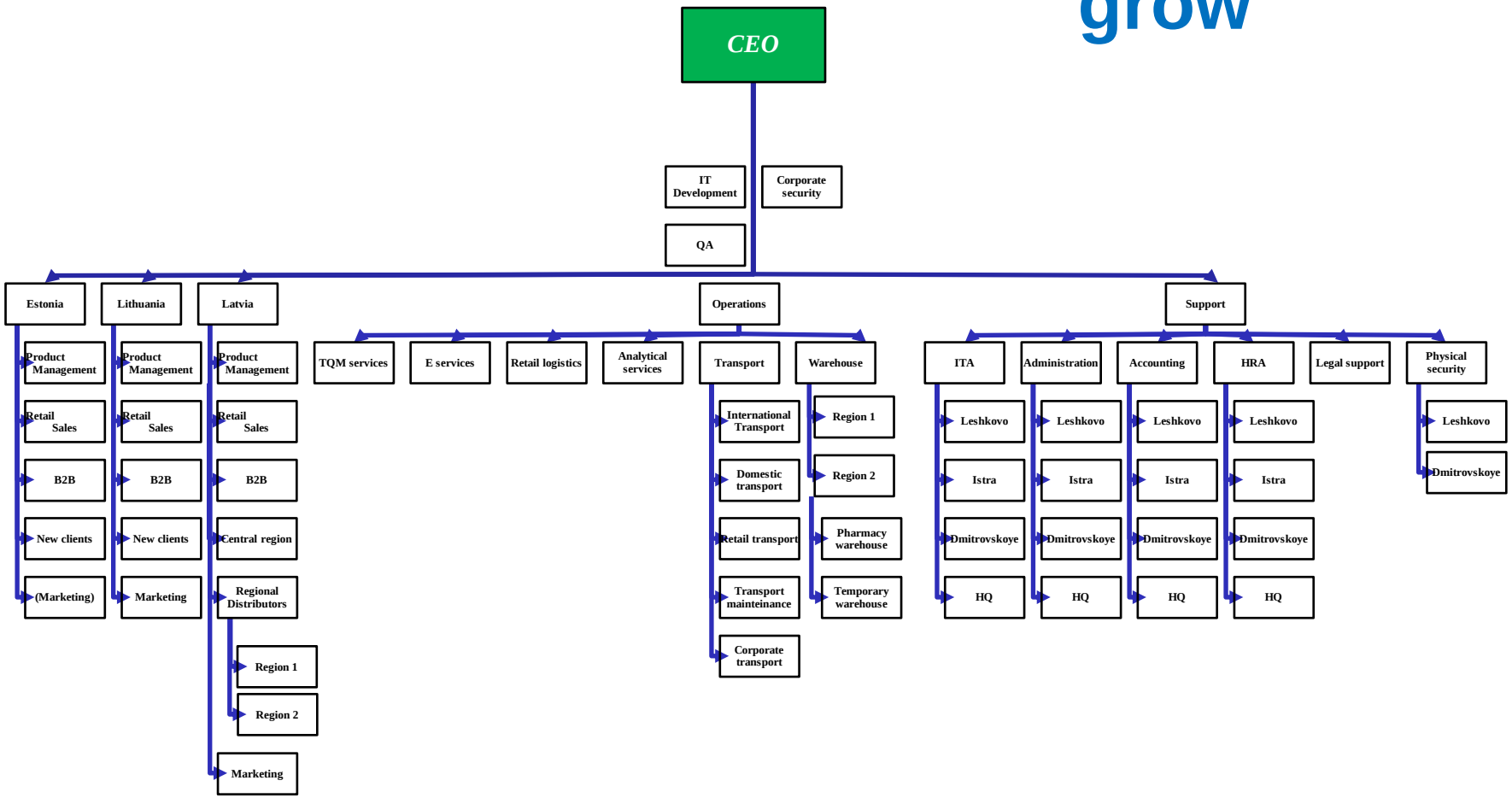
How businesses grow



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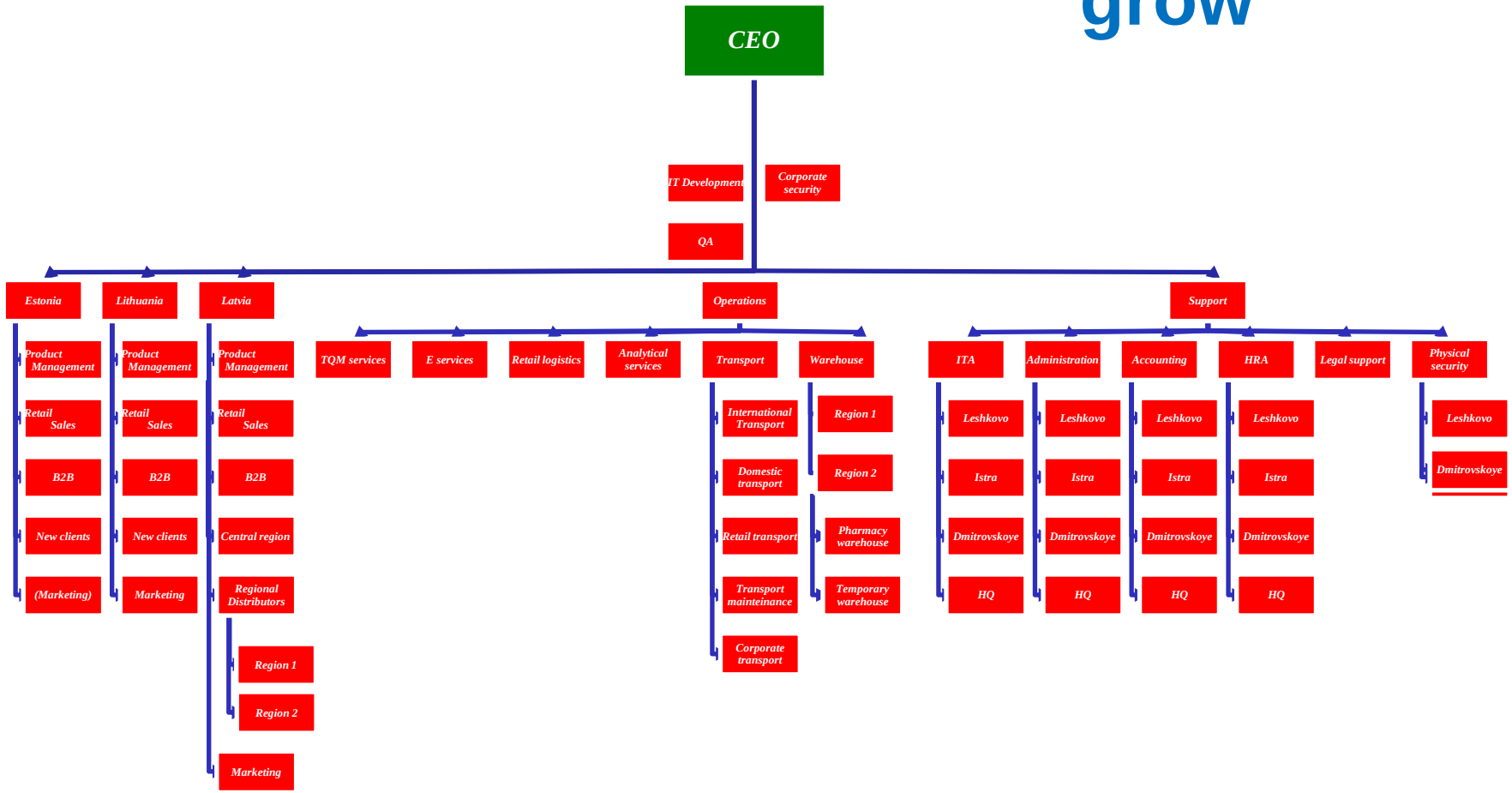
How businesses grow



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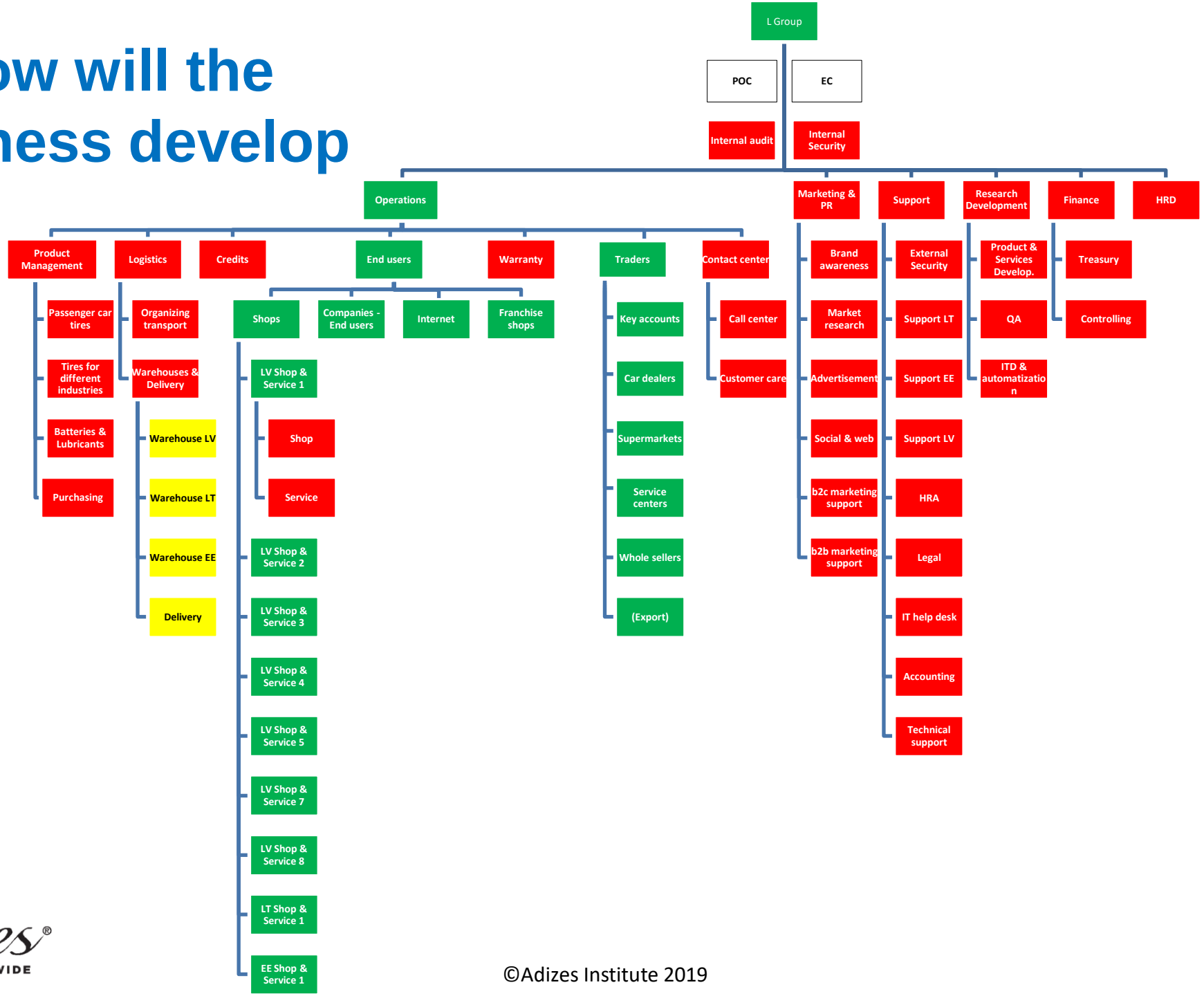
How will the business develop



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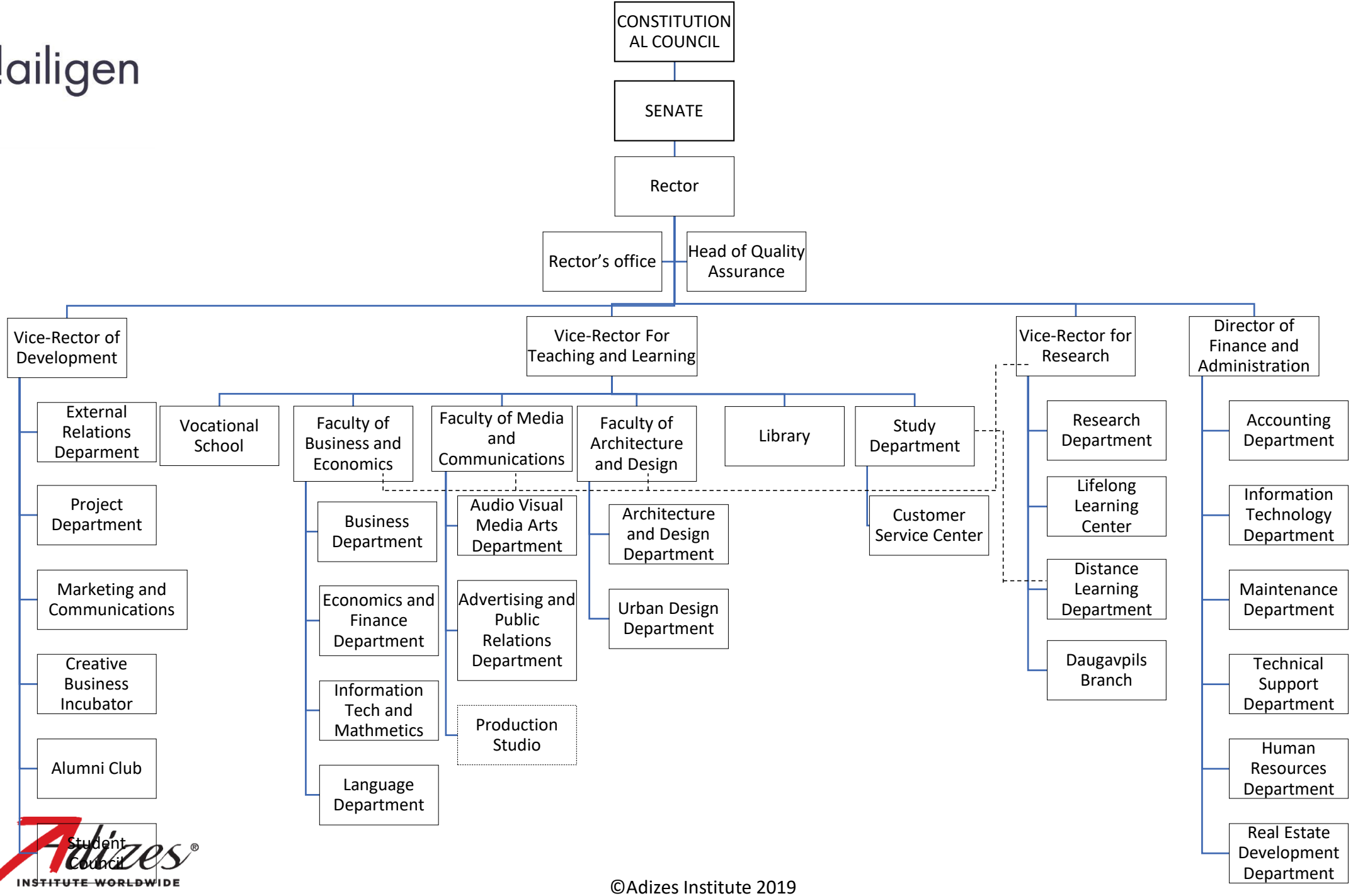

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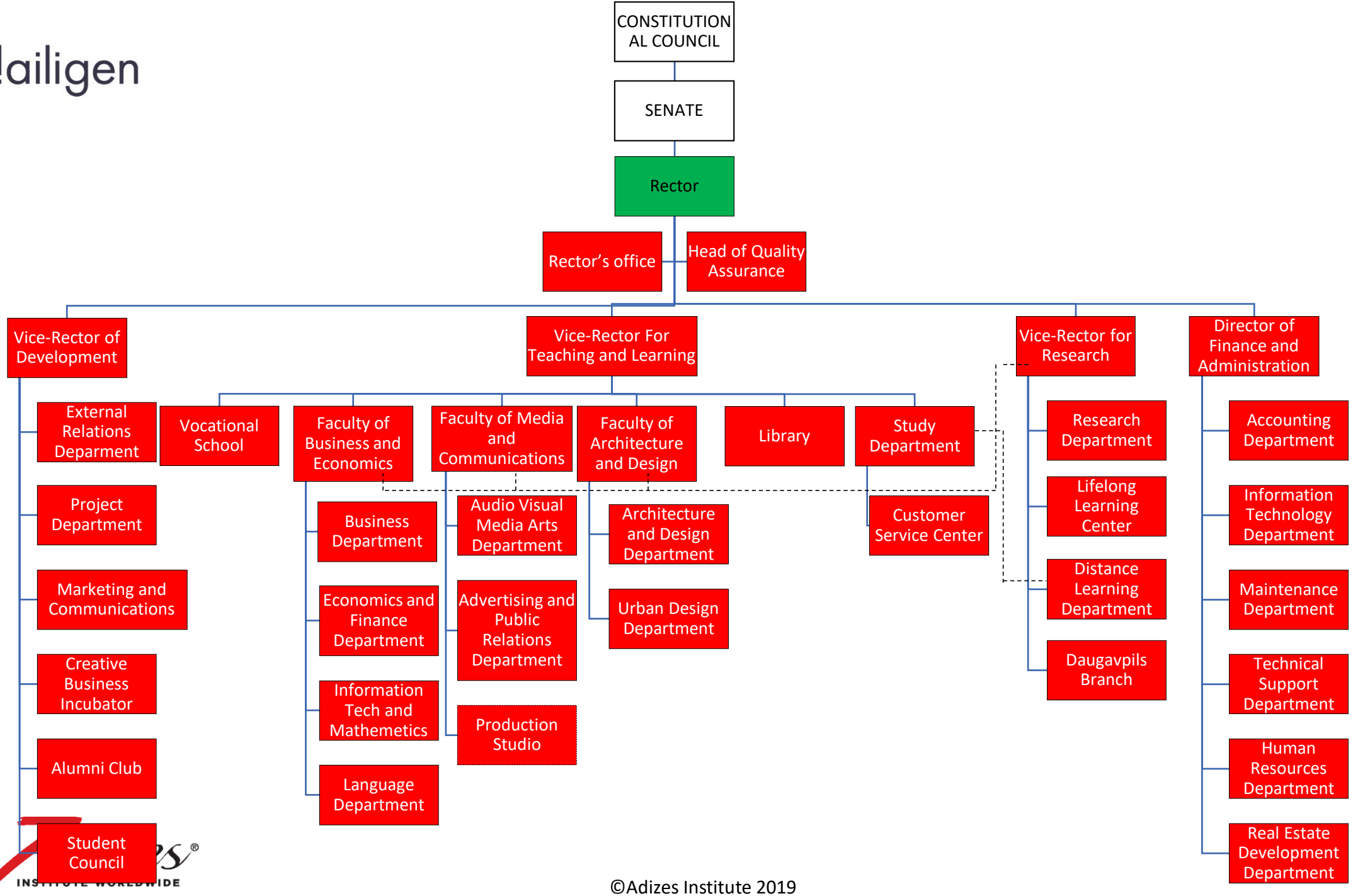

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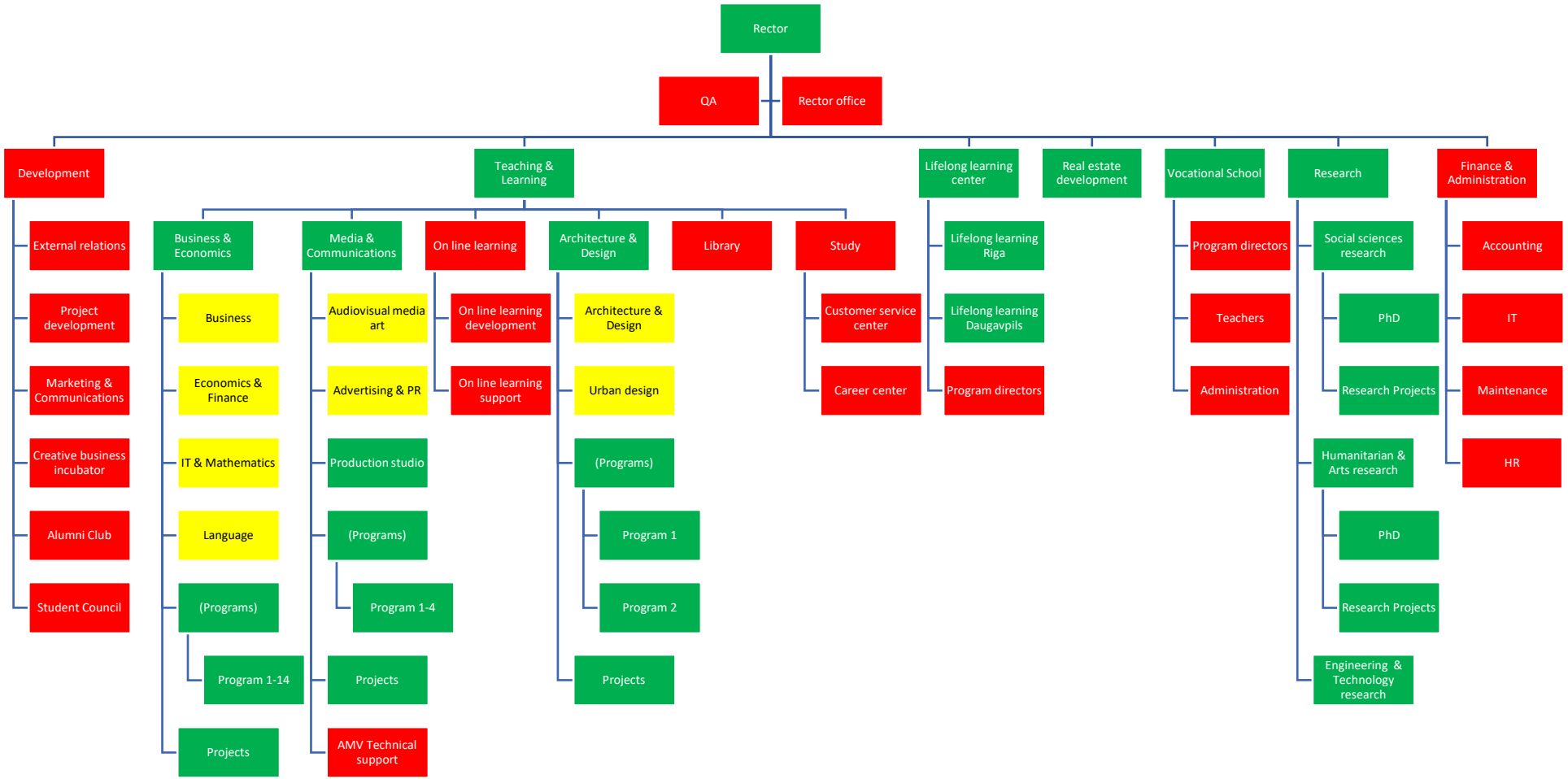

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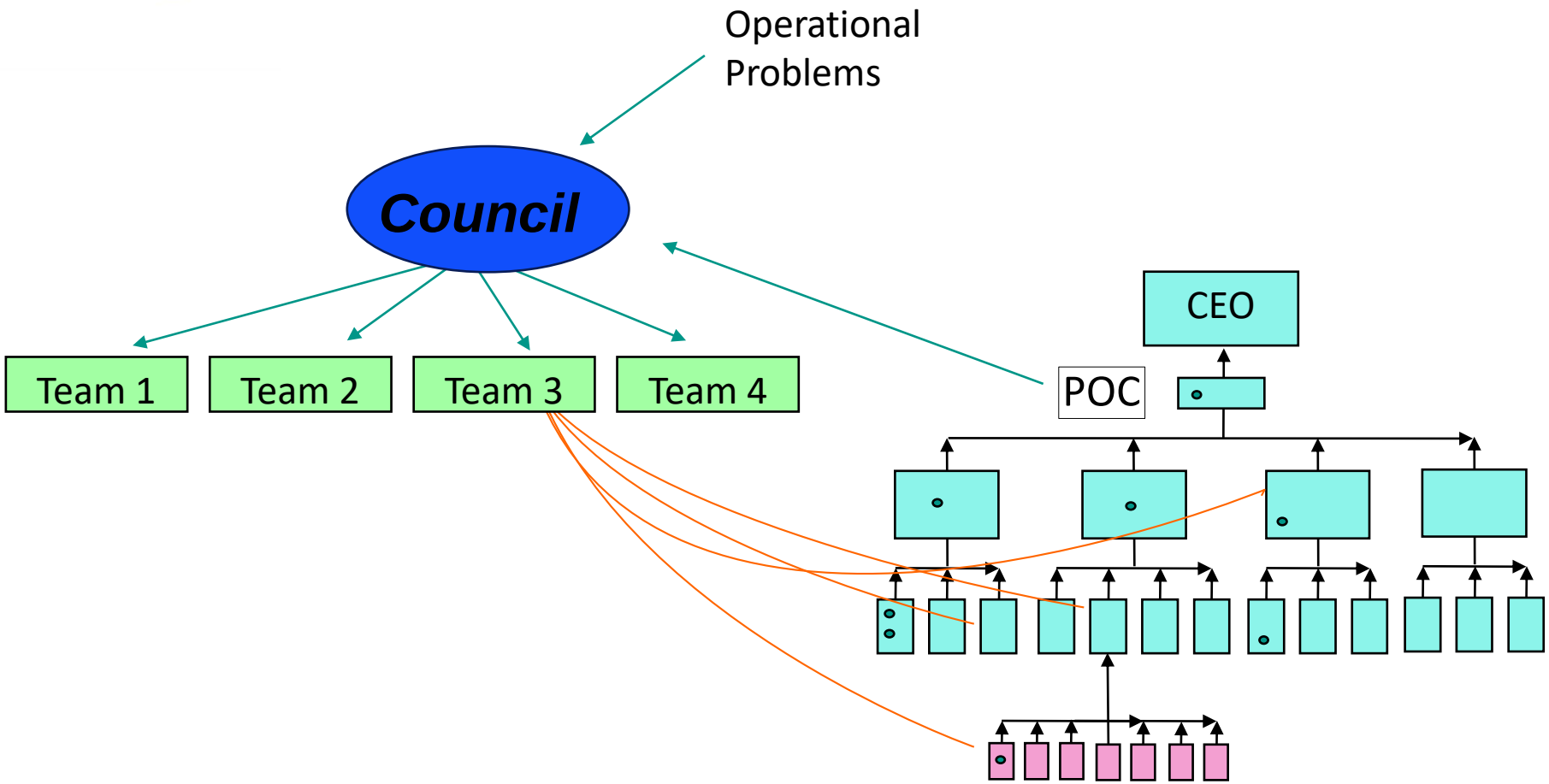

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Thank You!

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